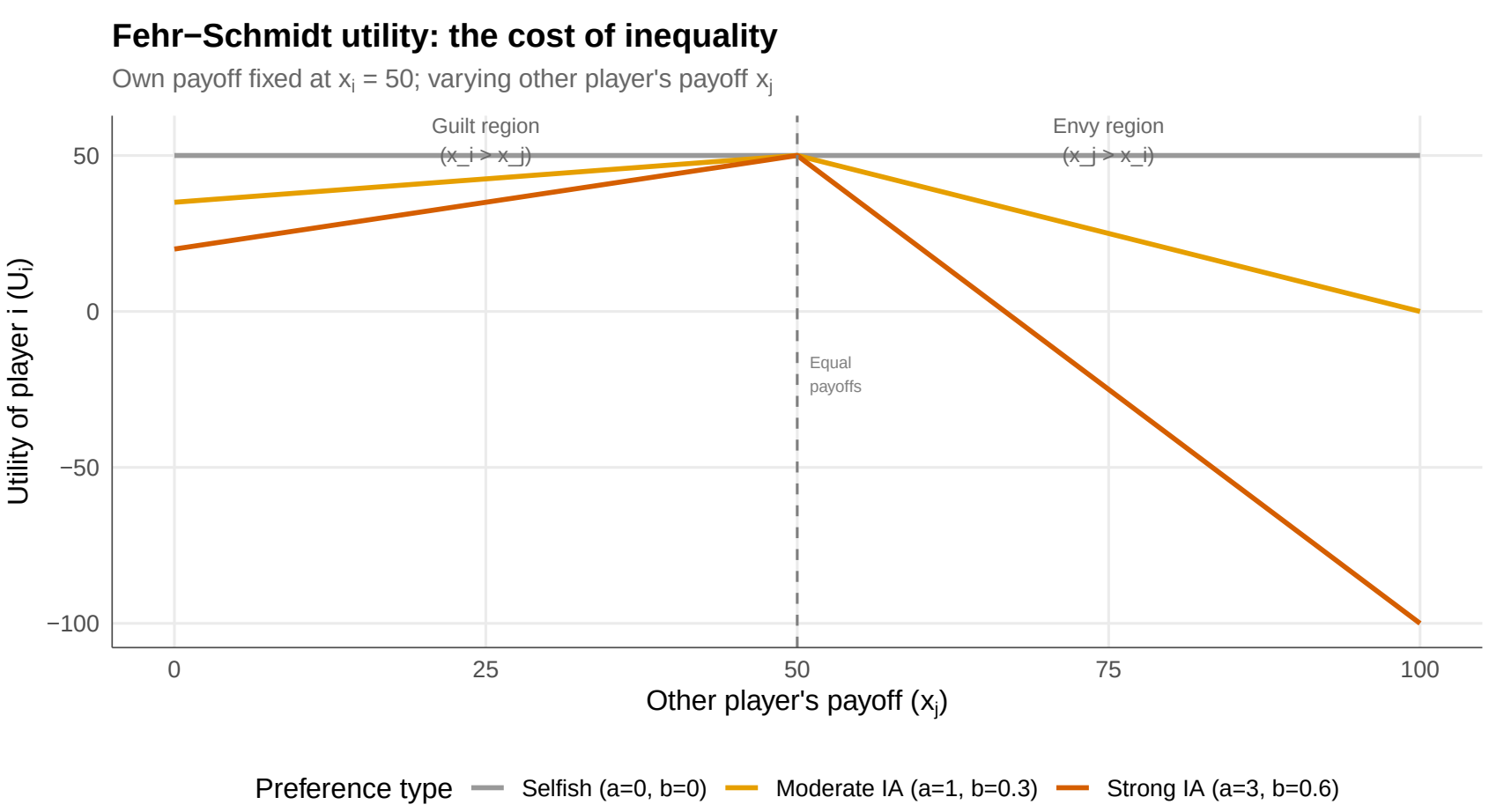
Fehr−Schmidt utility: the cost of inequality
Own payoff fixed at x_i = 50; varying other player's payoff x_j
Guilt region
(x_i > x_j)
Envy region
(x_j > x_i)
Equal
payoffs
50
0
−50
−100
Utility of player i (U_i)
0
25
50
75
100
Other player's payoff (x_j)
Preference type
Selfish (a=0, b=0)
Moderate IA (a=1, b=0.3)
Strong IA (a=3, b=0.6)